

difficulty individuals have in addressing interactions between investments leads investors to construct portfolios in a layered, pyramid format. Each tier addresses a particular investment goal independently of any additional investment goals. For example, when the objective is to preserve wealth, investors tend to target low-risk investments, like cash and money market funds. For income, they rely mostly on bonds and dividend-paying stocks. For a chance at a more drastic reward, investors turn to riskier instruments, like emerging market stocks and initial public offerings (IPOs). Combining different assets whose performances do *not* correlate with one another is an important consideration for risk reduction, but it is often neglected in this “pyramid” approach. As a result, investment positions held without regard to correlations might offset one another in a portfolio context, creating suboptimal inefficiencies. People quite often fail to evaluate a potential investment based on its contribution to overall portfolio return and aggregate portfolio risk; rather, they look only at the recent performance of the relevant asset layer. This common, detrimental oversight stems from mental accounting.

Below we review five investment mistakes that mental accounting can cause. Please note that this list is not exhaustive, as mental accounting bias is a vast, varied topic in application to private clients. Advice on each of the five potential pitfalls will follow in subsequent portions of this chapter.

MENTAL ACCOUNTING BIAS: BEHAVIORS THAT CAN CAUSE INVESTMENT MISTAKES

1. Mental accounting bias can cause people to imagine that their investments occupy separate “buckets,” or accounts. These categories might include, for example, college fund or money for retirement. Envisioning distinct accounts to correspond with financial goals, however, can cause investors to neglect positions that offset or correlate across accounts. This can lead to suboptimal aggregate portfolio performance.
2. Mental accounting bias can cause investors to irrationally distinguish between returns derived from income and those derived from capital appreciation. Many people feel the need to preserve capital (i.e., principal) sums and prefer to spend interest. As a result, some investors chase income streams and can unwittingly erode principal in the process. Consider, for example, a high-income bond fund or a preferred stock that pays a high dividend yet, at times, can suffer a loss of principal due to interest rate fluctuations.